Activity 02 – Comeback of Emerging Economies
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I. Identify the three most important factors that you believe drive the comeback of emerging economies.

It can be observed that the global growth patterns are shifting, with the economic center of gravity moving back toward Asia and many emerging markets driving global trade and investment flows. Factors such as higher resilience, demographic advantages, and rapid digital adoption have contributed to this comeback. Below are the three of the most important drivers contributing to the comeback of the emerging economies, along with their relevance to developed economies like Germany, Japan, and the United States.

1. **Demographic Growth and Expanding Consumer Markets**
   ○ Emerging economies such as India, Nigeria, and Indonesia have large, young, and rapidly growing populations (as shown in the world population and BoP slides).
   ○ This leads to expanding middle classes, rising consumption, and increasing demand for goods and services.
   ○ The "Base of the Pyramid" (BoP) markets offer untapped opportunities for low-cost innovations and new business models.
2. **Rapid Digitalization and Innovation**
   ○ Slides highlight frugal innovations in India and mobile money in Kenya as examples of how technology drives inclusion and growth.
   ○ Emerging economies often leapfrog traditional infrastructure by adopting mobile technology, fintech, and e-commerce directly.

○ Digital transformation increases productivity and competitiveness, attracting global investment.

3. **Economic Liberalization and Integration into Global Trade**

○ Despite rising trade barriers, many emerging markets have liberalized sectors, improved investment climates, and engaged in global supply chains.

○ Countries like Vietnam, Brazil, and Bangladesh are integrating into manufacturing, IT services, and agricultural exports.

○ Their economic freedom scores are improving, aligning with the slides' emphasis on how openness promotes globalization.

II. Explain why you think they would have the greatest impact on the development, performance, and potential of the economic environment in a developed country such as Germany, Japan, or the United States.

The resurgence of emerging economies reshapes the global economic order and creates both opportunities and challenges for advanced countries. Developed nations gain new markets for exports, investment prospects, and sources of innovation, but they also face heightened competition in industries once dominated by advanced economies.

1. **Germany**
   - Germany, as the world's leading exporter of industrial goods, benefits from the expanding consumer demand in emerging markets.
   - Rapid urbanization in Asia and Africa increases demand for German automobiles, engineering solutions, and green technologies.
   - However, German manufacturers must also adapt to rising competition from emerging economies that are climbing the technological ladder, forcing Germany to sustain its global reputation for precision, quality, and innovation.

2. **Japan**
   - Japan's demographic decline and aging population limit its domestic growth potential, making emerging economies crucial for sustaining external demand.
   - Investments in Southeast Asia (Vietnam, Thailand, Indonesia) allow Japan to diversify its production networks and secure resilient supply chains amid global uncertainties.
   - Emerging economies also serve as fertile grounds for Japanese

technological exports, particularly in robotics, energy-efficient solutions, and advanced consumer electronics.

3. **United States**

   ○ The U.S. gains from emerging economies through outsourcing opportunities, global IT service provision, and expanded financial markets.

   ○ American companies tap into innovation ecosystems in places like India and China, leveraging advancements in digital services, artificial intelligence, and fintech.

   ○ At the same time, the competitive pressure from emerging economies challenges U.S. manufacturing and compels policymakers to recalibrate industrial strategies, supply chain policies, and trade agreements to safeguard long-term competitiveness.